you work hard for the next 40 years at the same company—assuming steady investment returns and standard compound interest—that pension is going to be worth around $1 million by the time you're 65. But if you start working in the private sector at the same salary, and they only offer you a DC pension plan, you'll be lucky to have *half* a million by the time you retire.

I like to joke that "DC" stands for "debt collector," because that's who is going to be knocking on your door when you're struggling to make ends meet in retirement. So why not start preparing now, while you still have 40 years for that money to accrue interest? Don't leave your future in the hands of a fluctuating job market; start saving now. Sixty-five may sound like the distant future, but it comes sooner than you think.

No matter what, the one thing you absolutely must have is a Catastrophe Cash Fund. This is your Secret 10, and it is *not* the same thing as the money you put into your RRSP. In the event that you take money out of your RRSP, you'll be taxed on it, which worsens your situation. But your Secret 10 is readily accessible in case of emergency. It will come in very handy if you unexpectedly get laid off. Your Catastrophe Cash Fund should be enough to live on for three months at the bare minimum, preferably six. You can whine and moan now, but you'll thank me later. When you fall on hard times, your Catastrophe Cash will keep you fed.

Money Mistake: *You Buy Things to Feel Good*
The Fix: *Feel Good without Buying*

You don't need five pairs of jeans. You don't need 40 blouses. You don't need 25 pairs of shoes. I know a young woman who recently entered the job market who keeps a clothes hamper at work, full of expensive shoes. By my estimates, there's probably $5,000 worth of shoes in there. Talk about a bad use of capital. Nobody needs dozens of designer high heels!

Instead, dress like the French. The French treat their clothes like they treat their wine: they know how to select a few classic items